

On the job

Realistic work simulations that start with an email from your manager.

Goldman Snacks

Summary sheet

Audit: testing receivables

- Send confirmation requests to customers to confirm balances (existence).
- Check after-date cash receipts.
- Review the aged listing for irrecoverable debts (valuation).

Audit: inventory count

- Test counts both ways: floor to sheets (completeness) and sheets to floor (existence).
- Note damaged or slow-moving stock for NRV.
- Record the last goods received and dispatched notes for cut-off.

Finance team: month-end close

- Post accruals, prepayments and depreciation.
- Reconcile the bank and control accounts.
- Review variances against budget and last month.

Tax: VAT return and corporation tax

- $\text{VAT due} = \text{output VAT} - \text{input VAT}$; standard rate 20%.
- Taxable profit adds back disallowable items (e.g. depreciation, entertaining) and deducts capital allowances.
- Corporation tax main rate 25%; small profits rate 19%.

Audit: going concern review

- Look for warning signs: losses, net current liabilities, loan breaches.
- Review cash flow forecasts for at least 12 months.
- Material uncertainty: disclosure and a separate paragraph in the audit report.

Audit: payroll

- Agree payroll to HR records to test for ghost employees.
- Recalculate PAYE and National Insurance deductions.
- Analytical review: compare pay costs month by month.

Audit: fixed asset additions

- Vouch additions to invoices (accuracy, rights).
- Check capital vs revenue expenditure.
- Inspect the asset physically (existence).

Finance team: accounting for a new lease

- Read the lease: term, payments, options.
- Build the liability table and post the opening journal.
- Depreciate the right-of-use asset monthly.